

NOMINATIONS AND GOVERNANCE COMMITTEE REPORT

During the year, the Committee reviewed the structure and composition of the Board and Board Committees, and carried out performance evaluations of the Board, its Committees and the Managing Director.



Yohan Perera

Chairman – Nominations and Governance Committee

Meetings

02

Directors

03



03 Local

Percentage of committee members who are Independent



The Board has an established Nominations and Governance Committee ("the Committee") which complies with Section 9.11 of the Listing Rules of Colombo Stock Exchange and the requirements of the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

COMPOSITION OF THE COMMITTEE

The Committee comprises two Independent Non-Executive Directors and one Non-Independent Non-Executive Director.

The members of the committee are,

- » Mr. Yohan Perera - Chairman (INED / SID)
- » Mr. Nanda Fernando (INED)
- » Mr. Sarath Ganegoda (NINED)

INED – Independent Non-Executive Director

NINED – Non-Independent Non-Executive Director

SID – Senior Independent Director

SECRETARY TO THE COMMITTEE

Hayleys Group Services (Private) Limited

ATTENDANCE AT COMMITTEE MEETINGS

The attendance of the members at these meetings is as follows:

Name of the Member	Date of Appointment to the Committee	No. of Meetings Attended / Eligible to Attend
Mr. Yohan Perera (INED/SID)	16th May 2024	2/2
Mr. Nanda Fernando (INED)	16th May 2024	2/2
Mr. Sarath Ganegoda (NINED)	16th May 2024	2/2

ATTENDANCE OVERVIEW:



100%



100%

The Committee has been appointed by and is responsible to the Board of Directors.

The Board has approved well-defined terms of reference outlining the Committee's purpose, composition, quorum, authority, responsibilities, and meeting related matters. The Terms of Reference of the Committee were reviewed by the Committee during the financial year under review.

The Chairman of the Committee is an Independent Non-Executive Director.

The Committee meets as often as necessary and met twice during the financial year 2025/26.

The Chairman of the Board and Managing Director of the Company attend the meetings of the Committee by invitation.

DUTIES OF THE NOMINATIONS AND GOVERNANCE COMMITTEE

- » To approve a formal procedure to evaluate and recommend the appointment of Directors of the Company considering the required skills, experience and qualifications necessary.
- » To maintain a set of criteria for selection of Directors such as academic / professional qualifications, skills, experience and key attributes required for eligibility taking into consideration the nature of the business

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of the Company and industry specific requirements.

- » To evaluate the appointment of Director to the Board of Directors and to the Board Sub-Committees by considering their academic/ professional qualifications, skills, experience and key attributes required for eligibility, taking into consideration the nature of the business of the Company and industry specific requirements.
- » To consider and recommend (or not recommend) the re-election of current Directors taking into account the combined knowledge, experience, performance and contribution made by the Director to meet the strategic demands of the Company and the discharge of the Board's overall responsibilities and the number of directorships held by the Director in other listed and unlisted companies and other principal commitments.
- » To approve a suitable process for the periodic evaluation of the performance of the Board Directors and the Key Management Personnel of the Company to ensure their responsibilities are satisfactorily discharged.
- » To evaluate if each Director has been adequately carrying out his or her duties as a director, taking into consideration the knowledge and experience required to meet strategic demands facing the company, the number of directorships of listed company board on which he/ she is represented and other principal commitments.
- » To regularly review the structure, size, and composition of the Board, including gender representation and competencies (such as skills, knowledge, and experience), and to make recommendations to the Board regarding any necessary changes.
- » To review the succession plans for the Board of Directors and Key Management Personnel.
- » To review and recommend enhancements to the corporate governance framework of the Company, taking into account the Listing Rules of the Colombo Stock Exchange and other

applicable regulatory requirements and industry best practices.

- » To review and update the corporate governance policies/framework in line with regulatory and legal developments relating to the same.
- » To periodically review the insurance cover "Directors' and Officers' Liability cover" for Directors and other Key Management Personnel.
- » To receive reports from Management on compliance with the corporate governance framework of the Company, including the Company's compliance with provisions of the Securities and Exchange Commission Act, the Listing Rules of the Colombo Stock Exchange and other applicable laws, and reasons for any deviations or non-compliances.
- » To ensure that induction takes place for the new Directors.

ACTIVITIES DURING THE FINANCIAL YEAR 2025/26

The Committee reviewed the structure and composition of the Board and Board Committees and recommended additions to the Committees. Board performance evaluations were carried out and discussed at Board meetings. This entails the evaluation of the performance of the Board, its Committees and the Managing Director.

The Policies of the Company were reviewed during the year under review and necessary amendments were incorporated. The Committee ensured that the Policies are uploaded on the Company's website. Subcommittee Terms of Reference were reviewed and amended where necessary. The list of Policies of the Company is given on page 339 of the Report of the Board of Directors. The policies and processes relating to the nomination of new Members to the Board are governed by the Policy on Corporate Governance.

Independent Directors are kept informed by the Chairman in the event any major issues arise.

The Committee also assessed the Independence of the Directors against the criteria for independence as set out

in the Listing Rules of the Colombo Stock Exchange.

The Committee ensured that declarations of independence are made by the Independent Directors and concluded that all Independent Directors of the Company meet the criteria for determining independence. The Committee also evaluated all Directors against the fit and proper assessment criteria.

The Committee ensured that corporate governance rules stipulated by the Colombo Stock Exchange and other applicable requirements and industry's best practices are adhered to by the Board and the Company throughout the year. It also enhances Board diversity by bringing a wide range of experience, skills, age, and gender representation to the Board to ensure that it perform its duties effectively.

RE-APPOINTMENTS / RE-ELECTIONS

One Third (1/3) of all Directors, except the Managing Director and those who have been appointed to the Board since the last Annual General Meeting, retire by rotation, at least once in every three years in terms of the Articles of Association and, being eligible, submit themselves for re- election at the Annual General Meeting.

Accordingly, the Committee has recommended to re-elect Ms. Brindhiini Perera, Mr. Nanda Fernando, Mrs. Anomi Wanigasekera, and Mr. Yohan Perera to the Board at the Annual General Meeting to be held on 30th June 2026, based on their performance and the contribution made toward achieving the objectives of the Board.

Ms. Brindhiini Perera, a Non-Independent Non-Executive Director, was appointed to the Board on 19th October 2022, and was last re- appointed as a Director in June 2023. Her directorships and other principal commitments are given in the profile on page 29. She does not serve on any Board Committees.

Mr. Nanda Fernando, an Independent Non-Executive Director, was appointed to the Board on 3rd January 2024, and was last

re-appointed as a Director in June 2024. His profile is given on page 29. He serves on the Audit Committee, Remuneration Committee, Related Party Transactions Review Committee and Nominations and Governance Committees of Haycarb PLC.

Mrs. Anomi Wanigasekera, an Independent Non-Executive Director, was appointed to the Board on 3rd January 2024 and was last re-appointed as a Director in June 2024. Her directorships and other principal commitments are given in the profile on page 30. She does not serve on any Board Committees.

Mr. Yohan Perera, the Senior Independent Director, was appointed to the Board on 1st April 2024 and was last re-appointed as a Director in June 2024. His directorships and other principal commitments are given in the profile on page 30. He serves as the Chairman of the Audit Committee, Remuneration Committee, Related Party Transactions Review Committee and Nominations and Governance Committees of Haycarb PLC.

Due to the invaluable contribution made to the Board as a result of their many years of experience, industry knowledge, and business acumen, the Committee has recommended the reappointment of Mr. Mohan Padithage and Mr. Arjun Senaratna, who are over seventy years of age and who retire in terms of Section 210 of the Companies Act No. 7 of 2007.

None of the Directors or their close family members have any relationship with the Company or with other Directors of the Company, except for Ms. Brindhiini Perera, a Non-Independent Non-Executive Director, who has a close family relationship with the major shareholder holding 51.01% of the parent company of Haycarb PLC.

The Corporate Governance requirements stipulated under the Listing Rules of the Colombo Stock Exchange have been complied by the Company, and details are given on pages 330 to 337.



Yohan Perera
Chairman – Nominations and Governance
Committee

21st May 2026